

# DRY1OUT PROJECT FINDINGS

## Condensed Documentation & Risk Summary

361 Arroyo Drive, South San Francisco | August 2026

**Purpose:** identify what the current documents actually establish, where Dry1Out statements do not cleanly match those documents, and what should be verified next. This is a document review, not legal advice.

### BOTTOM LINE

- The strongest issue is not bad arithmetic. The major signed change-order totals appear internally consistent.
- The stronger problem is documentation and attribution: scope descriptions, payment demands, insurance-funded work, customer-funded upgrades, and delay explanations do not always reconcile cleanly.
- Dry1Out's paint description is materially narrower than the State Farm estimate. State Farm funds painting by measured surface and coat; the reviewed estimate does not state a "one color only" requirement.
- Anne repeatedly asked for ordinary billing support before payment. The correspondence shows conflicting payment figures and responses that did not explain the derivation.
- There is real overlap exposure between insurance-funded plumbing/electrical/countertop work and later customer-funded upgrades. That is not proof of double billing, but it requires a line-by-line credit/reconciliation.

### WHAT MATTERS MOST

| Issue                      | What the record shows                                                                                                                                                             | Why it matters                                                                                                    | Status   |
|----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|----------|
| Paint scope                | State Farm separately funds prep/seal/paint for Entry Hall, Hallway, Kitchen, Family Room/Stairs, Closet, 1/2 Bath and Laundry. It says "paint the walls and ceiling - one coat." | Charles' "one color only" / "match existing" framing is not language located in the reviewed State Farm estimate. | HIGH     |
| Payment documentation      | Anne documented three different totals: \$38,159.84, \$38,979.92 and \$39,917.96, then repeatedly asked how the amount was derived.                                               | Later references to "payment delay" omit the documented dispute over what amount was actually supported.          | HIGH     |
| Scope overlap / credits    | State Farm already pays for kitchen plumbing, electrical code work and countertop baseline work; CO2/CO3 add customer-funded work in those same trades.                           | Need a crosswalk showing what was replaced, what was upgraded, and what insurance allowance was credited.         | HIGH     |
| Delay attribution          | Dry1Out cited scope changes, payment delays and late selections; Anne contemporaneously disputed scope changes and noted long periods with little onsite work.                    | Any owner-caused delay claim should be tied to a dated event and measurable schedule impact.                      | MED-HIGH |
| Engineering / pass-through | CO2 contains a \$12,800 engineering bid item and applies overall O&P. The document allows excluded items when specifically written.                                               | Not inherently improper, but underlying proposal/invoice and markup basis should be produced.                     | MEDIUM   |
| Hazardous material         | CO2 charges \$4,310.50 for "Hazardous Material Remediation" while separately excluding asbestos and lead abatement.                                                               | Identify the actual hazard, testing, contractor and supporting invoice before drawing conclusions.                | MEDIUM   |
| License status             | Claude reported CSLB #993442 as suspended, but the attachments do not establish current status or effective dates.                                                                | Potentially major legal issue, but it must be independently verified before use.                                  | VERIFY   |

### KEY DOCUMENTED FACTS

**Paint:** State Farm contains room-specific paint quantities and one-coat line items. It also states the kitchen fire requires sealing and painting throughout to address smoke odor.

**Contractor relationship:** State Farm states the contractor is hired by the insured and works for the insured, not State Farm.

**Dry1Out upgrade language:** Dry1Out's CUSTOMER\_UPGRADES estimate says replacement need not be an identical match to preexisting conditions.

**Billing dispute:** Anne expressly requested trades, Dry1Out labor, subcontractor items, materials, tax and O&P. Charles responded that the amount due was what accounting put on the invoice.

**Authority:** On July 10, Anne told Dry1Out in writing that Daniel has "full decision power" and can be treated as "the same voice and authority as me."

**Wire:** The correspondence contains proof of a \$6,979.92 transfer to Restoration Specialists dba Dry1Out, including a confirmation number, after Anne had documented the amount dispute.

## FIVE RECORDS THAT WOULD SETTLE MOST OF THIS

1. Paint authority: exact contract/estimate provision supporting a one-color or existing-color restriction.
2. Scope-credit crosswalk: State Farm-funded scope -> owner-requested upgrade -> credit for displaced insurance work -> incremental owner charge.
3. Payment ledger: every invoice, payment, wire/check, credit and current balance, with each payment applied to a specific contract/change-order line.
4. Backup for bid/pass-through charges: engineer proposal/invoice, hazardous-material testing/remediation support, and the Gurries Electrical sub-estimate referenced by State Farm.
5. Delay chronology: each claimed owner-caused delay, date, dependency, number of days, and actual impact on completion.

## DO NOT OVERSTATE

- Do not claim the signed change-order arithmetic is fraudulent. The totals reviewed reconcile internally.
- Do not call the plumbing/electrical/countertop overlap "double billing" until credits and final invoicing are reconciled.
- Do not treat "hazardous material remediation" as asbestos work without supporting records.
- Do not rely on the reported CSLB suspension until the current license record and effective dates are independently verified.

## PRIMARY SOURCES

- State Farm final approved estimate, 05-80C1-98PC, dated 9/30/2025.
- Dry1Out Change Orders #1, #2 and #3, including CUSTOMER\_UPGRADES and kitchen-layout exhibits.
- Comprehensive correspondence emails, 33 pages, covering June-August 2026 payment, schedule, scope and project-management communications.